

PRESCRIPTION POLITICS

Picking on CEOs will not work. Manmohan Singh must instead target systemic flaws and pro-capital bias to promote equitable growth.

■ By Shankkar Aiyar

The morning after Prime Minister Manmohan Singh laid out the 10 commandments of corporate social responsibility to CEOs, an employee of FICCI general secretary Amit Mitra triumphantly flashed a Hindi daily at him: "So, you guys have been rapped on the knuckles." Obviously, the prime minister's tirade had struck a chord among the voting classes and politician Manmohan would have appreciated the delayed applause.

Rhetoric however popular, though, has a flip side. And, we are not talking about splurging ministers or their appetite to jet around in the seven corporate Embraer planes. Truth is that the Indian corporate sector is still chained by archaic regulations. Take the first crib about CEOs paying themselves fat salaries. Sounds good, but CEOs cannot pay themselves any amount. Their remuneration is subject to government regulation. A promoter CEO has to adhere to sections 198 and 309 of the Companies Act (read with Schedule XIII—Part II) under which remuneration by way of salary, perks, and commission cannot exceed 5 per cent of the net profit for one such managerial position. If there is more than one position, then the remuneration for all of them cannot exceed 10 per cent of net profit. Curiously, the law prevents relatives from being independent directors but it doesn't matter if the person is

from the mother's side or an in-law.

The irony is that the Irani Committee appointed by the Ministry of Corporate Affairs to modernise the Companies Act has recommended that the Government follow global practices and do away with restrictions on remuneration. Would politician Manmohan block the reforms when the new bill comes for cabinet approval or would economist Manmohan push for it?

Last month he wondered whether "we are encouraging crony capitalism". It should have been an assertion. Consider the magnitude of the exemption raj that companies enjoy. For every two rupees collected in taxes, one rupee (and more) is foregone in exemptions. The result: exemptions enjoyed by the corporate sector have swollen to Rs 2,88,959 crore. The justification for doling out the benefits is that the corporates provide jobs. How many? About 2.6 crore out of a total workforce of 42 crore. To gauge the ex-

"Are we promoting CRONY CAPITALISM? Are we protecting people from it?"

MANMOHAN SINGH
PRIME MINISTER

clusivity of the policy, compare the exemptions with the subsidies that reformists relentlessly target. Indeed, the Kelkar Committee had preached slashing of tax rates and abolition of all exemptions but successive regimes have shied away from tax cuts.

It is not just companies which are beneficiaries. Tax laws let those with capital to build on their fortunes. Ordinary home owners have to wait for three years to get relaxation by way of indexation on the tax on capital gains from its sale or be taxed at income-tax rates. Whereas those who dabble in the

PREACHING EQUITY: Manmohan speaking at the CII function



EXCLUSIVE ZONE

TAX EXEMPTIONS	TAX FOREGONE DUE TO PRO-CORPORATE POLICIES
Corporate income-tax	Rs 50,075 cr
Personal income-tax	Rs 15,512 cr
Co-operative sector	Nil
Excise duty	Rs 99,690 cr
Customs duty	Rs 1,23,682 cr
Total	Rs 2,88,959 cr
% of total tax mop-up	61.76%

Revenue foregone to pro-corporate policies rose 18%

SALARY

INDIAN HONCHOS

MUKESH AMBANI	RELIANCE	Rs 22 cr
PAWAN MUNJAL	HERO HONDA	Rs 15.22 cr
NAVEEN JINDAL	JINDAL STEEL	Rs 13.50 cr
SUNIL MITTAL	BHARTI AIRTEL	Rs 12.68 cr
MALVINDER SINGH	RANBAXY	Rs 2.62 cr

Annual payments exclude stock